

Intel Corporation

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COMPANY PROFILE

Intel Corporation designs and manufactures semiconductors through three segments: client computing (CCG), data center and AI (DCAI), and Intel Foundry — its internal and external chip-manufacturing business — alongside smaller holdings including Mobileye and IMS Nanofabrication. The company is mid-transition from an integrated device manufacturer to an internal foundry model, investing heavily in advanced process nodes (18A, 14A) to attract external manufacturing customers while stabilizing its core PC and server chip franchises amid intensifying competition.

RECOMMENDATION

SELL

12-month horizon

CURRENT PRICE

109.84 USD

as of report date

TARGET PRICE

72.20 USD

12-month fundamental

IMPLIED UPSIDE

-34.3%

vs. current price

MARKET CAP

USD 552.1 bn

shares × price

ENTERPRISE VALUE

USD 635.7 bn

mcap + net debt

P/E 2026E

104.5×

EV/EBITDA 2026E

26.1×

FCF YIELD 2026E

0.4%

DIVIDEND YIELD

2026E

0.7%

NET DEBT / EBITDA

2026E

1.1×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION SELL 12-month horizon	TARGET PRICE 72.20 USD 12-month fundamental	CURRENT PRICE 109.84 USD as of report date	IMPLIED UPSIDE -34.3% vs. current price
MARKET CAP USD 552.1 bn shares × price	ENTERPRISE VALUE USD 635.7 bn mcap + net debt	P/E · EV/EBITDA 2026E 104.5x · 26.1x history + peers, see p. 18-19	FCF · DIV YIELD 2026E 0.4% · 0.7%



01 Massive Disconnect in Foundry Economics

Intel Foundry carries 44.9% of enterprise value, or USD 285.7 billion, yet generated just USD 307 million in external revenue and a USD 10.3 billion operating loss in FY2025.

44.9%

02 Aggressive Valuation Multiples

The valuation applies an 18.0x multiple to 2027e EBITDA of USD 22,953 million, versus Intel's own normalized historical average of 7.76x, leaving spot pricing years ahead of proof.

18.0x

03 Unrealistic Profit Recovery Assumed

Foundry EBIT must swing from negative USD 10.3 billion to positive USD 14.3 billion by 2028-2029, a USD 24.6 billion gap absent disclosed external 18A wafer commitments.

\$24.6bn gap

THESIS BREAKER

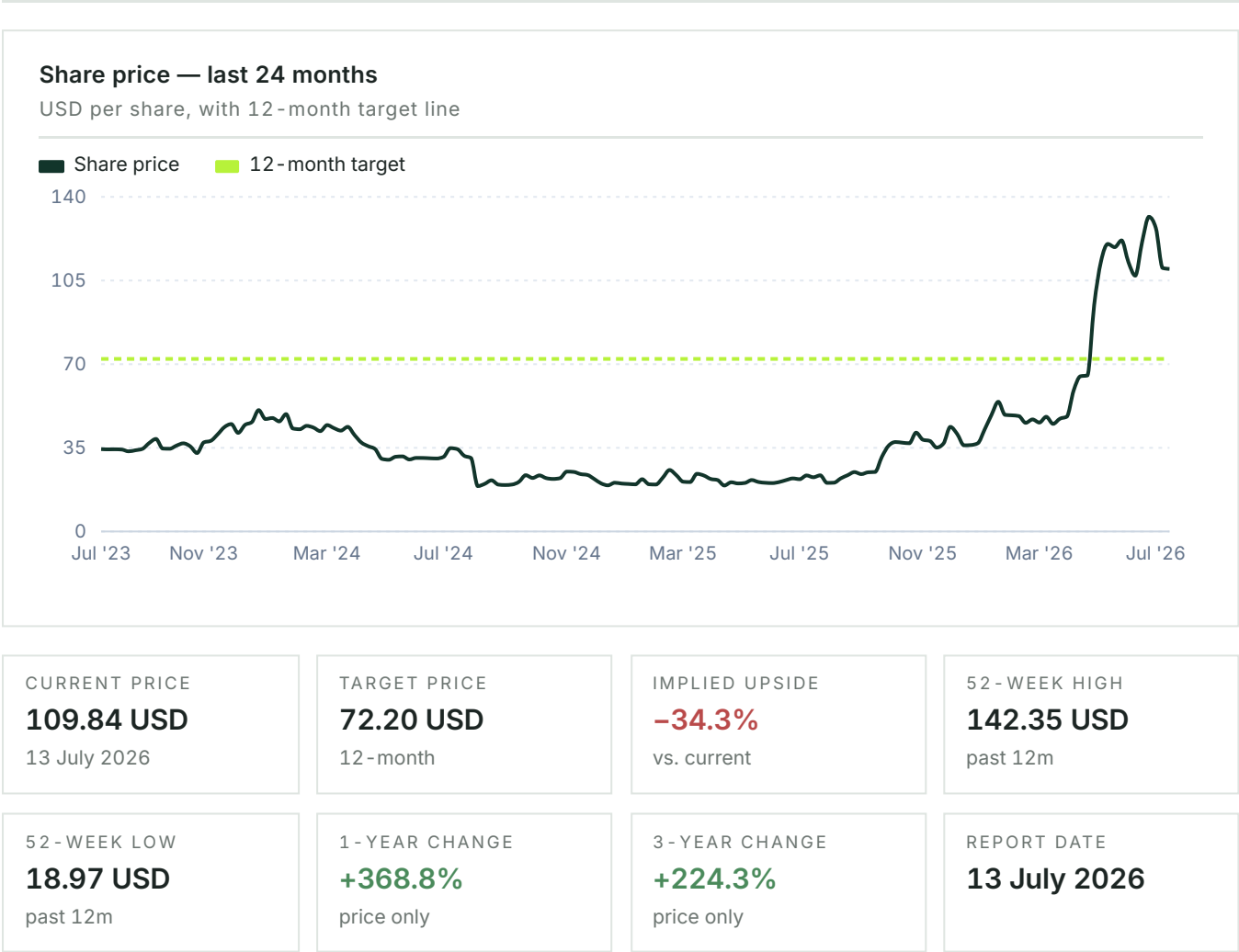
Disclosed high-volume 18A manufacturing contracts from tier-1 fabless clients like Apple or Nvidia.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Monthly closing prices over 24 months with the 12-month target price, alongside key market data.



VALUE BREAKDOWN · PART 1

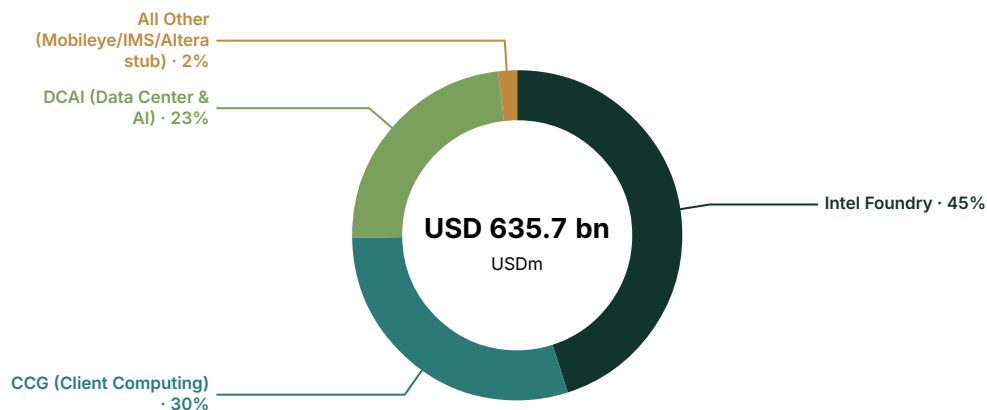
Enterprise - value allocation by segment

04

Each segment's contribution to group revenue, comparable EBIT and enterprise value.

Enterprise value by segment

USD millions · segment revenue/EBIT weights: FY2025A



SEGMENT ECONOMICS

Revenue and Comp. EBIT: FY2025A (source: FY2025 Form 10-K segment note ("Note: Operating Segments") and the Q4/FY2025 earnings release). EV: current allocation.

	REVENUE	SHARE OF REVENUE / DIV.	COMP. EBIT	SHARE OF EBIT / DIV.	EV	EV %	ARCHETYPE
Intel Foundry	307	0.6%	-10,318	0.0%	285,741	44.9%	Emerging option
CCG (Client Computing)	32,246	61.0%	9,294	0.0%	188,610	29.7%	Profit engine
DCAI (Data Center & AI)	16,901	32.0%	3,414	0.0%	148,463	23.4%	Scaling
All Other (Mobileye/IMS/Altera stub)	3,563	6.7%	150	0.0%	12,912	2.0%	Mixed
Total	53,017	100.3%	2,540	0.0%	635,726	100.0%	

VALUE BREAKDOWN · PART 2

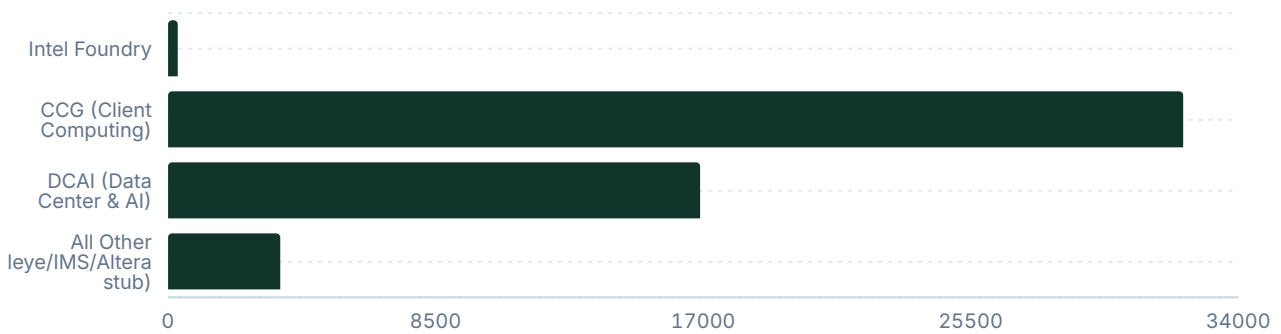
05

Net sales and EBIT by segment

Where the group's revenue and comparable EBIT originate, by segment.

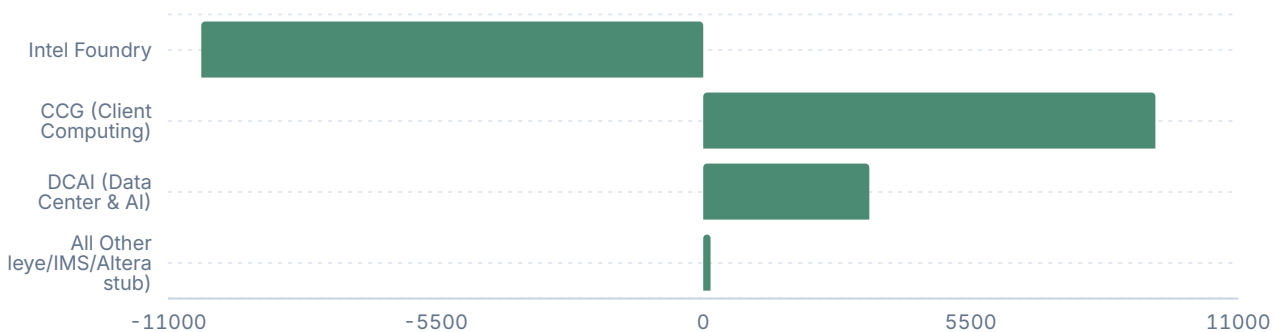
Net sales by segment

USD millions, FY2025A



Comparable EBIT by segment

USD millions, FY2025A



INTERPRETATION

Intel's enterprise value is far removed from current profitability. The Foundry segment accounts for nearly 45% of total EV despite generating less than 1% of external revenue and posting large operating losses. Meanwhile, the CCG and DCAI product segments, which generate effectively all operating cash, are supporting the enterprise transition while being assigned comparatively modest multiples.

RECOMMENDATION

Why we land on the call we do

06

The rationale for the rating, the decision summary, and the three principal supporting arguments.

Intel's \$635.7 billion enterprise value depends on one variable: whether Intel Foundry's 18A node can convert idle capacity into external revenue fast enough to justify the \$285.7 billion (44.9%) EV currently allocated to a unit that generated just \$307 million in external sales and a \$10.3 billion operating loss in FY2025. At the current \$109.84 share price (27.7x 2027e EV/EBITDA), the market is pricing a foundry turnaround years ahead of proof.

The valuation framework applies an 18.0x multiple to 2027e EBITDA of \$22,953 million versus a peer median of 16.0x and Intel's own normalized historical average of 7.76x, implying a \$72.2 target price — roughly 34% below spot.

Three segments carry this bridge. CCG anchors 29.7% of EV on a conservative multiple through 2025 - 2027. DCAI is priced at 23.4% of EV on a growth multiple that requires EBIT to double by 2027. Foundry must swing from -\$10.3 billion to +\$14.3 billion EBIT by 2028 - 2029 to support its \$285.7 billion asset-backed allocation — a \$24.6 billion gap.

SELL

TARGET PRICE
72.20 USD

CURRENT PRICE
109.84 USD

IMPLIED UPSIDE
-34.3%

12 - MONTH VIEW

Intel faces massive execution risk as the market prices its unproven Foundry segment for a flawless turnaround despite severe near-term cash burn and intense competition.

MAIN DRIVER

18A yield trajectory and external customer commitments

MAIN RISK

Failure to secure external wafer volume



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\$24.6bn gap

**THESIS
BREAKER**

Disclosed high-volume 18A manufacturing contracts from tier-1 fabless clients like Apple or Nvidia.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the segment deep dives that follow.

The current enterprise value allocation of Intel Corporation shows a wide gap between where the company currently generates cash and where the market expects future value creation. While the legacy Client Computing Group (CCG) and the Data Center and AI (DCAI) segments produce virtually all of the company's external revenue and operating profit, nearly 45% of Intel's \$635.7 billion enterprise value is attributed to Intel Foundry.

The market is currently pricing Intel not as a mature semiconductor designer, but as a strategic manufacturing asset overlaid with a cyclical product recovery. At the current \$552.1 billion market capitalization and \$635.7 billion enterprise value, the implied \$285.7 billion valuation for Intel Foundry far exceeds the segment's current economic output.

The remaining 55% of enterprise value is supported by CCG and DCAI. CCG generates the bulk of external revenue (\$32.2 billion) and positive operating profit (\$9.3 billion), serving as the cash engine for the broader corporate transition. DCAI (\$3.4 billion EBIT) carries a growth premium based on anticipated server CPU upgrades driven by agentic AI workloads.

ANALYTICAL ANCHOR

Market pricing leans heavily toward the turnaround optionality of Intel Foundry, making yield and external customer adoption the central focus of analysis.

08

Intel Foundry

Segment deep dive — Emerging option.

The market values Intel Foundry as a sovereign-backed strategic asset, not on its current cash flows. Geopolitical pressures to onshore semiconductor manufacturing, combined with hyperscaler demands for a viable alternative to Taiwan Semiconductor Manufacturing Company (TSMC), have created a premium for Intel's advanced packaging and fabrication assets.

The advanced logic foundry market is currently a near-monopoly dominated by TSMC. As the industry transitions to 2nm (N2) geometries, capacity is severely constrained. Leading fabless designers are competing for finite wafer starts and CoWoS packaging allocation. The addressable market for external foundry services is expanding rapidly as AI accelerators and custom ASICs require leading-edge fabrication.

Intel Foundry's competitive position hinges entirely on closing the technology gap with TSMC and fending off Samsung Foundry. TSMC remains far ahead commercially. Its N2 yields reached an estimated 70% to 75% in early 2026, granting it superior cost absorption and reliability. Intel's 18A yields reportedly sit between 50% and 60%, a crucial gap that directly impacts margin.

The foundry business model relies heavily on capital intensity and utilization leverage. To absorb its share of Intel's \$11.7 billion annual depreciation burden and \$24.3 billion in 2026 estimated gross capex, Foundry must achieve utilization rates above 80% with defect densities that allow gross margins to cross 40%. Currently, with minimal external volume, the fixed-cost burden drops directly to the operating loss line.

INTEL FOUNDRY FACT SHEET

EMERGING OPTION

FY2025A REVENUE
USD 307m

FY2025A COMP. EBIT
USD -10,318m

VALUATION BASIS
Asset + Option Premium

KEY DRIVER
18A yield trajectory

REPORTED SEGMENT MARGIN
n/m (loss)

CENTRAL QUESTION
Can 18A secure external customers?

08

CCG (Client Computing)

Segment deep dive — Profit engine.

CCG represents the largest share of external revenue (60.8%) and the highest absolute operating profit (\$9.3 billion). It is allocated 29.7% of enterprise value (\$188.6 billion). The valuation relies on current earnings, implying a conservative ~14x multiple on normalized EBIT.

The market values CCG as a mature cash cow. While unit volumes in the global PC market are flat to slightly declining, Intel maintains a commanding ~70% unit share against AMD. The primary growth vector is the 'AI PC' upgrade cycle, which increases ASPs by integrating Neural Processing Units (NPUs) into consumer silicon.

To justify its \$188.6 billion allocation, CCG does not need rapid growth; it simply needs to defend its 28.8% operating margin. The risk lies in substitution (Arm-based Windows machines via Qualcomm) and consumer pushback on higher pricing.

As the primary source of internal cash flow funding Foundry's \$24 billion capital expenditures, CCG is the operational bedrock of the company. If CCG margins compress, Intel's ability to fund its turnaround without severely diluting equity holders will break.

CCG (CLIENT COMPUTING)
FACT SHEET

PROFIT ENGINE

FY2025A REVENUE
USD 32,246m

FY2025A COMP. EBIT
USD 9,294m

VALUATION BASIS
Current Earnings

KEY DRIVER
AI-PC transition and margin defense

EBIT MARGIN
28.8%

CENTRAL QUESTION
Can margins hold during AI-PC shift?

08

DCAI (Data Center & AI)

Segment deep dive — Scaling.

DCAI accounts for 23.4% of allocated EV (\$148.5 billion) and 31.9% of external net sales (\$16.9 billion). It generated \$3.4 billion in reported operating profit in FY2025, a robust 20.2% margin. The allocation is based on indirect valuation evidence, applying a growth-premium multiple.

The market values DCAI as the primary beneficiary of the 'agentic AI' data center buildout. Autonomous agentic AI requires significantly more continuous orchestration, memory management, and parallel decision-making, shifting the GPU-to-CPU ratio back toward parity. The market applies a growth premium to DCAI because it expects this architectural shift to radically expand the server CPU TAM.

DCAI faces intense competitive pressure. In Q1 2026, AMD's data center revenue reached roughly \$5.8 billion, surpassing Intel's DCAI revenue of \$5.1 billion for the first time, granting AMD approximately 46% of x86 server revenue share against Intel's 54%. Intel's moat relies on its massive installed base, enterprise relationships, and improved product roadmaps.

DCAI unit economics are driven by volume and monetization (ASP). The shift toward agentic AI requires higher-core-count, premium-priced CPUs. To support a \$148.5 billion EV, DCAI must sustain volume growth without sacrificing ASPs in a price war with AMD.

DCAI (DATA CENTER & AI)
FACT SHEET

SCALING

FY2025A REVENUE
USD 16,901m

FY2025A COMP. EBIT
USD 3,414m

VALUATION BASIS
Growth Multiple

KEY DRIVER
Agentic AI server upgrades

EBIT MARGIN
20.2%

CENTRAL QUESTION
Will agentic AI demand
offset AMD share losses?

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Smaller segments — grouped deep dives

Segments that don't warrant a full deep dive — a short fact strip each.

All Other (Mobileye/IMS/Altera stub)

Mixed — FY2025A revenue: USD 3,563m · FY2025A comp. EBIT: USD 150m · Valuation Basis:
Revenue Multiple · Estimated Margin: ~4%

CORE ANALYSIS · CROSS-SEGMENT BRIDGE

Putting the segments back together

09

How the segment valuations aggregate to the group, and the re-rating the target price requires.

The path from essentially breakeven group EBIT in 2025 to the \$8.8 billion projected for 2027 depends mechanically on two outcomes: continued rapid profit growth in DCAI and a halving of operating losses at Intel Foundry.

CCG is expected to remain a stable, mature cash generator, but it cannot drive the aggregate growth required. The required \$4 billion profit increase in DCAI relies on the secular shift toward CPU-heavy agentic AI architectures.

Most importantly, the \$5 billion improvement expected in Foundry is not primarily driven by a surge in external revenue in 2026, but rather by the end of heavy 18A ramp-up costs and improved utilization absorbing the \$12.6 billion to \$14.1 billion in annual depreciation forecast for 2027.

The weakest link in the bridge is the Foundry recovery. Operating losses can narrow mechanically through cost control, but hitting the target margins requires external customer volume to spread fixed costs. If Apple, Nvidia, or other major fabless players delay their commitments, Foundry will keep dragging group EBIT below consensus, threatening the \$8.8 billion target.

BRIDGE MECHANICS

Achieving \$8.8 billion in group EBIT by 2027 relies heavily on DCAI doubling its profit and Foundry sharply narrowing its losses through improved utilization.

Under a sum-of-the-parts framework, current operating economics support only about half of Intel's enterprise value. Applying a generous 15x multiple to the combined \$12.7 billion in EBIT generated by CCG and DCAI yields roughly \$190 billion in supported operating value.

The remaining ~\$445 billion of enterprise value is heavily concentrated in the future optionality and asset backing of Intel Foundry.

The \$635.7 billion enterprise value bridges to the \$552.1 billion market capitalization after deducting \$32.3 billion in net debt and \$51.3 billion in implied unallocated senior claims (which likely reflect minority interests like Mobileye, pension deficits, and model-specific EV adjustments).

Because Foundry currently generates negative cash flow, its valuation rests entirely on an asset NAV framework. Intel possesses over \$105 billion in tangible assets, the vast majority of which sit in Foundry. However, this asset value cannot be treated as immediately realizable equity. It is heavily integrated, encumbered by debt, and functionally illiquid.

The market applies a strategic premium to this asset base, assuming it will generate large future cash flows as the sole Western alternative to TSMC. If Intel fails to commercialize 18A, the realizable value of those assets will collapse to a fraction of book value, wiping out the equity premium.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The wide range across valuation scenarios is driven entirely by Intel Foundry. In the Bear scenario, 18A yields stall below 60%, TSMC retains 100% of the leading-edge logic market, and Foundry remains a \$10 billion annual cash sink. Because the PP&E cannot be easily repurposed or sold without a large impairment, the strategic premium evaporates and group EV collapses.

In the Base scenario, Intel achieves steady execution and rides AI growth to \$8.8 billion in group EBIT, effectively validating current market pricing.

In the Bull scenario, 18A not only reaches parity with TSMC N2 but secures major anchor clients, pushing Foundry operating margins toward 20% by the end of the decade. At the same time, DCAI benefits from the agentic AI wave, stabilizing its revenue share against AMD. Upside depends on external forces subsidizing Intel's volume ramp.

BOTTOM LINE

The central investment debate on Intel is whether a heavily unprofitable, capital-intensive manufacturing operation should be valued as a \$285 billion strategic asset, or penalized as a structural cash sink. The market has clearly chosen the former, applying a heavy strategic and geopolitical premium to Intel Foundry. For the current \$635.7 billion enterprise valuation to hold, DCAI must ride the expanding agentic AI server TAM to double its operating profit, and Foundry must rapidly scale its 18A node yields to secure tier-1 external customers like Apple or Nvidia.

FINANCIAL BRIDGE · PART 1

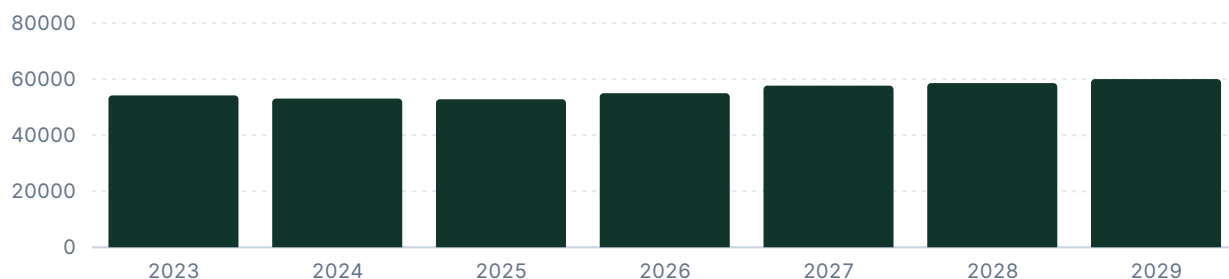
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

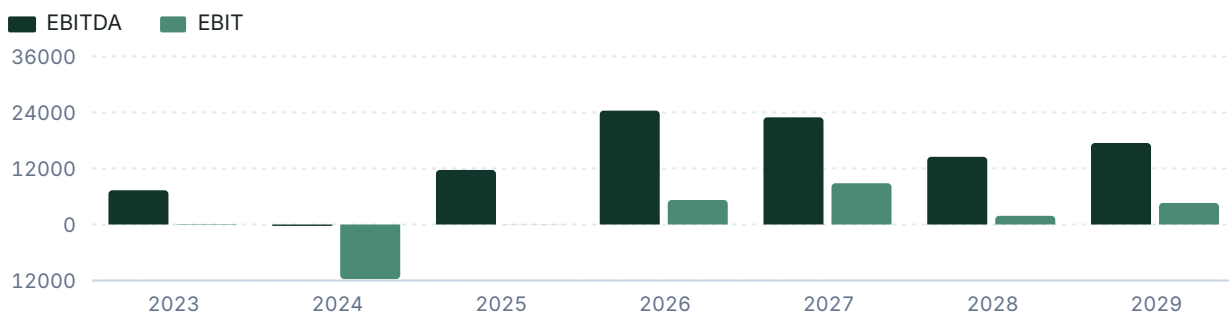
Net sales

USD millions



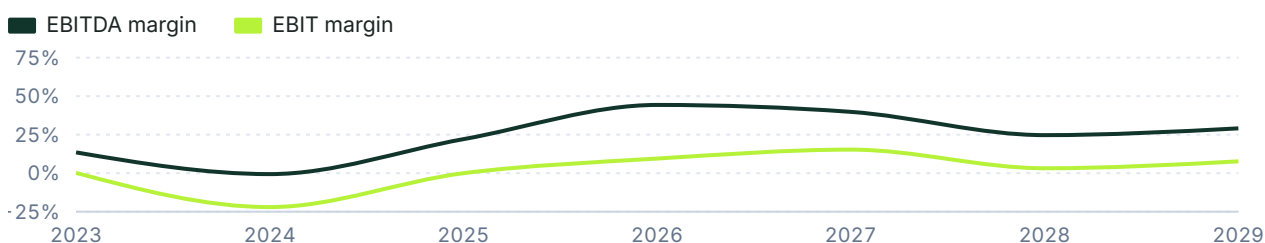
EBITDA & EBIT

USD millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

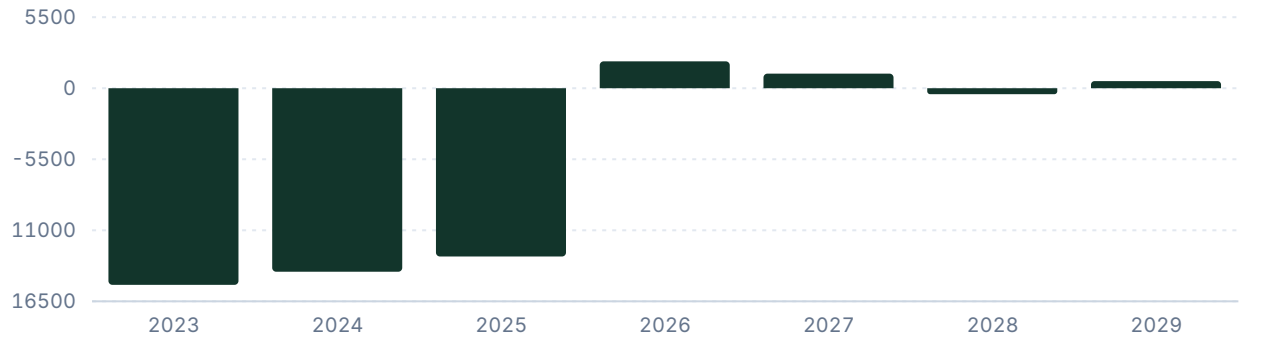
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

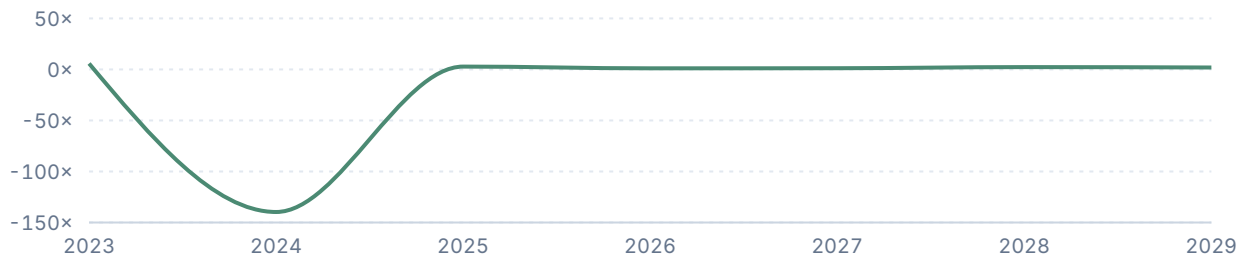
Free cash flow

USD millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	52,853	55,016	57,713	58,628	60,056
EBITDA	11,683	24,389	22,953	14,496	17,458
Comparable EBIT	-23	5,252	8,839	1,856	4,618
Net Earnings	26	5,102	8,857	3,746	5,815
EPS (USD)	0	1.1	1.8	0.8	1.2
DPS (USD)	0	0.8	1.4	0.6	0.9

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

The primary valuation method selected for Intel Corporation is EV/EBITDA, which is appropriate for an asset-heavy semiconductor manufacturer undergoing a highly capital-intensive turnaround where heavy depreciation structurally masks the underlying cash generation capability. Intel currently trades at an elevated 27.7x EV/EBITDA on 2027e estimates, well above its normalized historical average of 7.8x and the peer median of 16.0x. A selected fair multiple of 18.0x is applied to 2027e EBITDA to reflect a slight premium to the peer median, accounting for the long-term recovery potential of Intel's leading-edge foundry operations while appropriately acknowledging ongoing near-term execution and scale-up risks. The primary valuation risk to this multiple would be further delays in external foundry customer acquisition or structural margin compression in the core client computing segment.

Historical and Forecast Multiples											
Metric	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	Norm. Avg	Selected Fair Multiple
P/E	9.46x	10.48x	13.54x	125.70x	-4.52x	6761.05x	104.53x	60.35x	142.65x	11.16x	
P/FCF	18.88x	292.93x	-35.41x	-13.83x	-6.11x	-13.49x	256.21x	488.55x	-1197.52x	155.90x	
P/BV	2.44x	2.18x	1.07x	1.99x	0.88x	1.54x	4.62x	4.05x	4.15x	1.68x	2.0x
P/S	2.54x	2.64x	1.72x	3.88x	1.64x	3.33x	9.70x	9.57x	9.42x	2.62x	
EV/Sales	2.93x	3.06x	2.24x	4.82x	2.52x	4.29x	11.56x	11.02x	10.84x	3.31x	
EV/EBITDA	6.35x	7.73x	9.20x	35.68x	-447.12x	19.40x	26.07x	27.70x	43.86x	7.76x	18.0x
Dividend yield	2.8%	2.7%	5.5%	1.5%	1.8%	n/a	0.7%	1.3%	0.5%	2.2%	

VALUATION

Peers and target price bridge

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Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON										
COMPANY	COUNTRY	MKT CAP	P/E 2026E	P/E 2027E	EV/EBITDA 2026E	EV/EBITDA 2027E	P/BV	EBIT MARGIN	ROE	DIV YIELD
Taiwan Semiconductor Manufacturing Company Limited	Taiwan	1176.2 TWDbn	0.8x	0.7x	-0.4x	-0.8x	0.2x	43.1%	24.1%	n/a
Samsung Electronics Co., Ltd.	South Korea	342.1 KRWbn	0.0x	0.0x	-0.9x	-1.3x	0.0x	12.4%	11.5%	n/a
GLOBALFOUNDRIES Inc.	United States	38.1 USDbn	-198.3x	-120.2x	16.2x	15.0x	3.6x	-1.1%	-1.8%	n/a
Advanced Micro Devices, Inc.	United States	909.7 USDbn	119.9x	67.0x	62.1x	41.6x	12.8x	28.0%	11.3%	n/a
QUALCOMM Incorporated	United States	202.6 USDbn	22.9x	22.1x	11.7x	12.4x	7.7x	33.1%	38.0%	2.5%
Micron Technology, Inc.	United States	1082.1 USDbn	740.7x	517.8x	103.7x	85.9x	22.7x	8.4%	3.1%	n/a
Texas Instruments Incorporated	United States	180.3 USDbn	28.1x	26.0x	18.0x	16.0x	6.3x	39.2%	25.3%	n/a
Broadcom Inc.	United States	1536.6 USDbn	60.8x	48.8x	32.3x	27.7x	13.7x	65.7%	25.5%	n/a
Peer median		n/a	11.8x	22.1x	17.1x	16.0x	6.3x	33.1%	24.1%	n/a
Peer average		n/a	12.9x	19.5x	19.6x	22.5x	6.3x	32.9%	19.8%	n/a

TARGET PRICE BRIDGE					
METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE	WEIGHT
EV/EBITDA	2027e EBITDA	22,953 USDm	18.0x	65.56 USD	60%
P/BV	2027e BVPS	27.11 USD	2.0x	54.22 USD	20%
Reverse valuation	Market-implied scenario	n/a	n/a	110.00 USD	20%
Weighted target price				72.2 USD	100%

SENSITIVITY — IMPLIED SHARE PRICE			
2027E EBITDA (USDM)	MULTIPLE 17.0X	MULTIPLE 18.0X (BASE)	MULTIPLE 19.0X
18,362 (-20%)	45.46	49.11	52.77
20,658 (-10%)	53.23	57.34	61.45
22,953 (Base)	60.99	65.56	70.12
25,248 (+10%)	68.75	73.78	78.80
27,544 (+20%)	76.52	81.99	87.48

MULTIPLES & SENSITIVITY

18

Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	104.5×
EV/EBITDA	26.1×
EV/EBIT	121.0×
P/FCF	256.2×
P/BV	4.6×
Dividend Yield	0.7%
Net Debt / EBITDA	1.1×

EBITDA × EV/EBITDA sensitivity					
EBITDA EV/EBITDA →	14.0×	16.0×	18.0×	20.0×	22.0×
-20% USD 19,511m	USD 273,154m USD 47.90 / sh	USD 312,176m USD 55.70 / sh	USD 351,198m USD 63.40 / sh	USD 390,220m USD 71.20 / sh	USD 429,242m USD 79.00 / sh
-10% USD 21,950m	USD 307,300m USD 54.70 / sh	USD 351,200m USD 63.40 / sh	USD 395,100m USD 72.20 / sh	USD 439,000m USD 80.90 / sh	USD 482,900m USD 89.60 / sh
Base USD 24,389m	USD 341,446m USD 61.50 / sh	USD 390,224m USD 71.20 / sh	USD 439,002m USD 80.90 / sh	USD 487,780m USD 90.60 / sh	USD 536,558m USD 100.30 / sh
+10% USD 26,828m	USD 375,592m USD 68.30 / sh	USD 429,248m USD 79.00 / sh	USD 482,904m USD 89.70 / sh	USD 536,560m USD 100.30 / sh	USD 590,216m USD 111.00 / sh
+20% USD 29,267m	USD 409,738m USD 75.10 / sh	USD 468,272m USD 86.70 / sh	USD 526,806m USD 98.40 / sh	USD 585,340m USD 110.00 / sh	USD 643,874m USD 121.70 / sh

SCENARIO VALUATION

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Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	52,000	12,000	23.1%	16.0×	192,000	159,680	USD 31.77	-71.1%
Base	57,713	22,953	39.8%	18.0×	413,154	380,834	USD 75.77	-31.0%
Bull	65,000	32,000	49.2%	20.0×	640,000	607,680	USD 120.91	+10.1%

KEY CONDITIONS

The extreme dispersion across scenarios relies primarily on the trajectory of Intel Foundry's 18A process node yields and utilization. If Intel manages to match TSMC's capabilities and attract marquee external clients, operating leverage is massive. However, should yields stumble, the colossal fixed-cost burden creates an unmanageable drag.

THESIS BREAKER

Disclosed high-volume 18A manufacturing contracts from tier-1 fabless clients.

CATALYSTS

20

Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Formal external 18A volume contracts	MEDIUM-TERM	Intel Foundry	Hyperscaler commitments	Validates the Foundry option premium
Quarterly server CPU revenue share	NEAR-TERM	DCAI	AMD share stabilization	Supports DCAI growth multiple
18A / 14A Yield disclosures	MEDIUM-TERM	Intel Foundry	Reported yield parity	Dictates gross margin trajectory
CCG operating margin stability	NEAR-TERM	CCG	Client ASP realization	Confirms internal funding capacity
Clearwater Forest deployments	LONG-TERM	DCAI	Product performance vs EPYC	Confirms 18A functionality
READ - THROUGH The most important catalyst is the formal announcement of a high-volume manufacturing contract for the 18A node from a tier-1 fabless customer. This is the easiest milestone to observe and the hardest to fake. The most misunderstood metric is likely to be total Foundry segment revenue—because the vast majority of this revenue will remain internal transfers from CCG and DCAI, investors must specifically isolate external foundry revenue to validate the thesis. Without external revenue conversion, the \$285 billion valuation allocated to the manufacturing footprint is unjustified. Alongside this, stabilization in the DCAI division versus AMD and maintained CCG margin levels remain essential short-term barometers.				

RISKS

Risk register

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Each risk's segment, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Yield failure on 18A/14A nodes	Intel Foundry	Stalled yields leave cost-per-die uncompetitive with TSMC.	Delayed tape-outs	HIGH	THESIS BREAKER
Sustained server share loss to AMD	DCAI	Loss of volume removes the required growth multiple premium.	Sub-50% revenue share	HIGH	STRUCTURAL
Free cash flow burn and debt load	Group / Foundry	Inability to fund the \$24B capex requirement.	Credit downgrades	MEDIUM	MANAGEABLE
Price war in PC client processors	CCG	Erosion of the cash cow's 28.8% margin footprint.	Falling ASPs	MEDIUM	STRUCTURAL
Slow external customer adoption	Intel Foundry	Asset base becomes a stranded cost without external volume.	No anchor wins by 2027	HIGH	THESIS BREAKER
READ - THROUGH The most thesis-breaking risk is a technical failure to achieve competitive yields on the 18A node. If yields remain stuck in the 50% range, the cost per good die will be uncompetitive with TSMC, preventing Intel from securing the external volume necessary to absorb its \$11.7 billion depreciation burden. A closely related, underappreciated risk is the balance sheet. Intel is projected to spend \$24.3 billion in gross capex in 2026, generating a forecasted free cash flow of just \$2.0 billion. If CCG margins compress or DCAI loses share faster than expected, Intel will struggle to fund its Foundry buildout internally, leading to potential debt downgrades or highly dilutive equity raises.					

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APPENDIX

Income statement

INCOME STATEMENT — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
Net Sales	54,228	53,101	52,853	55,016	57,713	58,628
EBITDA	7,329	-299	11,683	24,389	22,953	14,496
EBITDA margin	13.5%	-0.6%	22.1%	44.3%	39.8%	24.7%
Depreciation	-7,236	-11,379	-11,706	-19,137	-14,114	-12,640
Operating Profit (EBIT)	93	-11,678	-23	5,252	8,839	1,856
EBIT margin	0.2%	-22.0%	-0.0%	9.5%	15.3%	3.2%
Net financial items	669	468	1,580	3,276	3,131	3,206
Pre-tax Profit	762	-11,210	1,557	8,528	11,970	5,062
Net Earnings	1,675	-19,233	26	5,102	8,857	3,746
PER SHARE						
EPS	0.4	-4.5	0	1.1	1.8	0.8
DPS	0.7	0.4	0	0.8	1.4	0.6
Payout ratio	185.1%	-8.3%	—	80.0%	80.0%	80.0%

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	97,152	107,919	105,414	110,457	115,872	117,708
Intangibles	4,589	3,691	2,772	2,885	3,027	3,075
Goodwill	27,591	24,693	23,912	23,912	23,912	23,912
Non-current assets	148,303	149,161	147,741	152,897	158,454	160,338
Inventories	11,127	12,198	11,618	12,284	12,886	13,090
Receivables	25,063	26,877	37,805	37,825	38,014	38,078
Cash & equivalents	7,079	8,249	14,265	12,643	13,263	13,473
Current assets	43,269	47,324	63,688	62,752	64,163	64,641
Total Assets	191,572	196,485	211,429	215,649	222,617	224,979
EQUITY & LIABILITIES						
Equity	109,965	105,032	126,360	131,462	136,238	132,898
Long-term debt	46,978	46,282	44,086	20,228	20,856	23,548
Short-term debt	2,300	3,729	2,499	20,228	20,856	23,548
Long-term liabilities	53,554	55,787	53,494	29,636	30,264	32,956
Current liabilities	28,053	35,666	31,575	54,550	56,115	59,125
Total liabilities & equity	191,572	196,485	211,429	215,649	222,617	224,979
CAPITAL STRUCTURE & RATIOS						
Net debt	42,199	41,762	32,320	27,814	28,449	33,623
Capital invested	152,164	146,794	158,680	159,276	164,687	166,522
Equity ratio	57.4%	53.5%	59.8%	61.0%	61.2%	59.1%
Gearing	38.4%	39.8%	25.6%	21.2%	20.9%	25.3%
Net debt / EBITDA	5.8×	-139.7×	2.8×	1.1×	1.2×	2.3×
Current ratio	1.5	1.3	2	1.2	1.1	1.1

E = Valuatum estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — USD MILLIONS						
	2023	2024	2025	2026 <i>E</i>	2027 <i>E</i>	2028 <i>E</i>
OPERATIONS						
CF from operations	11,515	-4,555	-1,477	28,800	23,117	16,436
Operating cash flow	14,268	-4,901	-2,646	26,375	20,801	14,063
Change in working capital	-994	-3,299	13,209	-4,560	-146	-49
INVESTING & FREE CASH						
Gross capex	27,293	12,237	10,286	24,293	19,670	14,524
Capex (ex. M&A)	-27,293	-12,237	-10,286	-24,293	-19,670	-14,524
Free Operating Cash Flow	-15,225	-14,209	-13,029	2,082	1,130	-461
Free cash flow to firm	-15,225	-14,209	-13,029	2,082	1,130	-461
FINANCING						
CF from financing	10,075	17,962	17,779	-6,128	-2,827	-1,701
Dividends paid	-5,998	-3,101	-1,605	—	-4,082	-7,086
Net change in cash	-5,703	1,170	6,016	-1,622	620	210

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, USD MILLIONS								
	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	12,724	12,833	13,284	14,260	12,667	12,859	13,653	13,674
EBITDA	1,482	605	-5,445	3,059	2,373	-163	3,675	3,577
EBITDA margin	11.6%	4.7%	-41.0%	21.5%	18.7%	-1.3%	26.9%	26.2%
Comparable EBIT	-1,069	-1,964	-9,057	412	-301	-3,176	683	550
EBIT margin	-8.4%	-15.3%	-68.2%	2.9%	-2.4%	-24.7%	5.0%	4.0%
Net Earnings	-437	-1,654	-16,989	-153	-887	-3,024	4,270	-333
EPS	-0.1	-0.4	-4	-0	-0.2	-0.6	0.9	-0.1

CURRENT YEAR — QUARTERLY, USD MILLIONS				
	Q1/26	Q2/26 E	Q3/26 E	Q4/26 E
Net Sales	13,577	13,318	14,140	13,981
EBITDA	0	4,470	10,036	9,882
EBITDA margin	—	33.6%	71.0%	70.7%
Comparable EBIT	-3,136	180	4,177	4,032
EBIT margin	-23.1%	1.4%	29.5%	28.8%
Net Earnings	-4,281	587	5,970	2,826
EPS	-0.9	0.1	1.2	0.6

E = Valuatum estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER

	VALUE	CATEGORY	USED IN
Enterprise Value Allocation	\$635,726 million	COMPANY VALUE MAP	Value Pools & Sum of the Parts
FY2025A Net Sales	\$52,853 million	FINANCIAL SNAPSHOT	Appendix & Financial Bridge
2027E EBITDA	\$22,953 million	GENERATED ESTIMATE	Target Multiple Valuation
Current Share Price	\$109.84	MARKET DATA	Cover & Return Potential
Target Price Multiple	18.0x EV/EBITDA	MODEL OUTPUT	Valuation Summary
Peer Median Multiple	16.0x EV/EBITDA	CONSENSUS ESTIMATES	Multiple Benchmarking
CCG Segment Revenue	\$32,246 million	COMPANY VALUE MAP	Deep Dive & Pool Breakdown
Foundry Segment EBIT	\$(10,318) million	COMPANY VALUE MAP	Deep Dive & Pool Breakdown

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